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Program Information Document (PID)

Appraisal Stage | Date Prepared/Updated: 22-Oct-2024 | Report No: PIDDA00127



BASIC INFORMATION

A. Basic Project Data

Project Beneficiary(ies)	Operation ID	Operation Name	
Rwanda	P505244	Boosting Green Finance, Investment and Trade in Rwanda	
Region	Estimated Approval Date	Practice Area (Lead)	Financing Instrument
EASTERN AND SOUTHERN AFRICA	20-Nov-2024	Finance, Competitiveness and Innovation	Development Policy Financing (DPF)
Borrower(s)	Implementing Agency		
Ministry of Finance and Economic Planning	Ministry of Trade and Industry (MINICOM), Rwanda Development Board, Rwanda Inspectorate, Competition, and Consumer Protection Authority (RICA)		

Proposed Development Objective(s)

The PDO is to support reforms aimed at creating a level playing field and mobilizing investment, particularly green.

Financing (US\$, Millions)

Maximizing Finance for Development

Is this an MFD-Enabling Project (MFD-EP)?	Yes
Is this project Private Capital Enabling (PCE)?	Yes

SUMMARY

Total Financing	255.00
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DETAILS

Total World Bank Group Financing	255.00
World Bank Lending	255.00



Decision

The review did authorize the preparation to continue

Explanation

B. Introduction and Context

Country Context

Rwanda stands at a pivotal juncture in its development trajectory as it grapples with pressing challenges – including depleting fiscal space, limited role of the private sector, high poverty incidence, and increasing vulnerability to climate-related shocks and natural disasters. Prevailing poverty levels, alongside a significant reliance on agriculture, underscore an urgent need for transformative economic strategies to propel quality job creation and diversification. 38 percent of the population still lives in poverty, 69 percent are primarily engaged in agriculture, and an average of 189,000 Rwandans entered the labor force every year for the period 2017–2022, highlighting the urgent need to create more and better jobs. Lastly, the threat of climate change looms large, as evidenced by Rwanda’s vulnerability to droughts and floods. Therefore, adaptive measures are imperative to mitigate the impacts of climate shocks on the economy. To this end, Rwanda aims to reduce its Nationally Determined Contributions (NDCs) by 38 percent compared to business-as-usual (BAU) by 2030 and is committed to carbon neutrality by 2050.¹

Rwanda’s macroeconomic policy framework is considered adequate for this DPF. After a solid recovery in 2021–23, GDP is projected to grow by around 7.7 percent over 2024–26. With recent inflationary pressures, the BNR is maintaining a tighter monetary policy stance with no monetization of the financing requirement. The GoR is committed to prudent fiscal management largely through streamlining and gradually reducing subsidies particularly those related to energy and fuel, spending rationalization, and increased transparency and efficiency. Continued reliance on concessional financing will maintain debt sustainability. Performance and Policy Actions agreed under the SDFP include strengthening the macroeconomic policy framework by supporting the development and publication of the pipeline of appraised projects, including project costs and selection criteria of new major projects, as an annex of the budget Law. This operation supports Rwanda in mitigating macroeconomic and fiscal risks through a set of policy actions aimed at unlocking private finance for climate actions and rationalizing Rwanda’s public investment, which has been the main driver of debt accumulation since 2013.

This operation is strategically designed to catalyze a series of reforms to reinforcing the private sector participation in the economy and addressing the barriers that obstruct sustainable development. By promoting greater competition, expanding financial inclusion, strengthening regulatory frameworks, and unlocking new opportunities for private investment to support climate mitigation and adaptation, the DPF paves the way for a transformative economic shift. Furthermore, the reforms are geared towards enhancing the operational landscape for businesses and unlocking the

¹ Under BAU projections, Rwanda’s emissions are projected to more than double between 2015 and 2030. Its NDCs are therefore equivalent to mitigation of up to 4.6 million tCO₂e in 2030 (Updated NDC, May 2020).



anticipated opportunities emanating from the African Continental Free Trade Area (AfCFTA), removing barriers to trade and investment, as well as access to finance for entrepreneurs—especially for women—, and upgrading insolvency regulation and public procurement practices to improve the prospects of small and medium enterprises (SMEs). These prior actions have been packaged into two pillars: one, Pillar A, focusing on increasing private sector participation, trade, and contestability. Pillar B aims to facilitate climate finance and promote green investments.

Relationship to CPF

The proposed DPF operation is closely aligned with the World Bank’s CPF FY2021–26, focusing on mobilizing private capital, enlarging the private sector’s economic footprint, and promoting green growth. The reforms under Pillar A support the CPF objective of improving private sector development (PSD) by balancing the role of the state and private sector, enhancing competition, and expanding access to finance. Pillar B directly aligns with the goals of promoting foreign direct investment (FDI), fostering green growth, and developing resilience-focused financing instruments. Taken together, both Pillars fully align with the new World Bank’s mission to stimulate green and inclusive growth, as well as with CPF priorities to “improve conditions for PSD in Rwanda”, provide “broader support toward inclusive finance” and help Rwanda “become a more attractive destination for local, regional, and international investments.”

C. Proposed Development Objective(s)

The PDO is to support reforms aimed at creating a level playing field and mobilizing investment, particularly green.

Key Results

This comprehensive reform agenda is crafted around two main sets of reforms linked to ambitious development targets. Reform measures under the first pillar focus on removing key barriers to private sector participation and investment. The results indicators are linked to the implementation of fundamental steps towards creating a level playing field that fosters competition and regulates and enterprises with state participation, upgrading the regulatory framework for bankruptcy to facilitate reallocation, expanding inclusive finance and resilience in the financial ecosystem, and increasing trade in services as well as investor confidence. The second set of reforms and indicators are aimed at accelerating green and sustainable growth, particularly by enabling private capital mobilization into climate and nature projects, promoting efficient conservation management practices and investments to boost conservation efforts and diversify the ecotourism offering, and ensuring sustainable public procurement.

D. Project Description

This proposed Development Policy Financing (DPF) operation supports reforms aims to lay the foundations for increased private sector participation and green growth² in Rwanda. The operation, the second in a programmatic series of two DPFs, takes the form of an International Development Association (IDA) credit of US\$255 million to the Government of Rwanda (GoR) to impulse a reform program targeting. The DPF series supports the goals of the Government’s National Strategy for Transformation (NST1) (2017–2024) and the recently approved NST2 (2024– 2029) through a reform program

² Green growth is defined a growth pattern that is efficient in its use of natural resources, clean in that it minimizes pollution and environmental impacts, and resilient in that it accounts for natural hazards and the role of environmental management and natural capital in preventing disasters. World Bank. 2012. Inclusive Green Growth : The Pathway to Sustainable Development.



to facilitate the shift towards private sector-led and green growth, thus furthering Rwanda's journey toward becoming an upper-middle-income country by 2035. Compared to the first DPF (US\$125 million), this operation further develops and reinforces the reform agenda with additional interventions to deepen private sector participation, expand climate finance mechanisms, and nurture a more resilient and sustainable economy.

The main design features of the operation focus on two key pillars: increasing private sector participation, trade and contestability (Pillar A), and facilitating climate finance and green investments (Pillar B). Prior actions under Pillar A include issuing a Presidential Order on state-owned enterprise governance (PA1), amending the Competition and Consumer Protection Law to address competition and sustainability issues (PA2), and submitting a Simplified Insolvency Law for micro and small enterprises to Parliament (PA3). Additionally, the National Bank of Rwanda is to issue guidelines on women's financial inclusion and on climate-related and environmental risks for financial institutions (PA4), alongside the enactment of a new law to govern cross-border banking services and foreign engineers' licensing (PA5). Prior actions under Pillar B include implementing guidelines on investor dispute prevention and grievance management (PA6), approving ministerial orders to operationalize private sector participation in managing national parks and nature reserves (PA7), adopting Rwanda's Climate and Nature Finance Strategy (PA8), and amending the law governing procurement professionals to enhance professionalization and approve sustainable procurement guidelines (PA9).

The operation is supported by development partners, notably the International Monetary Fund (IMF), KfW Development Bank (KfW), the French Development Agency (AFD), and the German Agency for International Cooperation (GIZ). These partners contributed technical assistance and complementary financing, particularly in areas such as climate finance and green taxonomy, public procurement, and macroeconomic stability. KfW contributed to the design of the operation with a substantial Technical Assistance, and is providing a complementary USD \$20 million grant tied to the World Bank operation in the form of budgetary support. For instance, AFD and GIZ worked in areas of shared interest, including public procurement and the development of a green finance taxonomy. This coordinated approach strengthens the reform program's impact, helping Rwanda meet the long-term vision outlined in NST1 and NST2 of becoming a climate-resilient, private sector-driven economy. By addressing barriers such as limited access to finance and insufficient competition, the DPF will enhance Rwanda's business environment and support its transition to a greener and more inclusive economy.

E. Implementation

Institutional and Implementation Arrangements

The Ministry of Finance and Economic Planning (MINECOFIN) will oversee the overall implementation of Rwanda's DPF-supported program and oversee monitoring and evaluation (M&E) activities. MINECOFIN is responsible for coordinating actions among relevant ministries and agencies and reporting progress on program implementation. Rwanda has a strong track record of effective M&E systems, and the quality and availability of data to monitor progress is expected to be reliable. Various management information systems within Rwandan institutions will be utilized to track DPF results indicators.

Rwandan authorities will work closely with the World Bank to ensure that the program's implementation remains on course. Regular reports will be submitted to track the progress of the agreed-upon reforms. The World Bank may also contribute to building capacity and enhancing monitoring systems to further strengthen the Government's M&E framework, ensuring that the development objectives outlined in the DPF are met. This will contribute to continuous improvements in Rwanda's capacity to manage and monitor its development programs effectively.



F. Poverty and Social Impacts, and Environmental, Forests, and Other Natural Resource Aspects

Poverty and Social Impacts

None of the prior actions supported by this DPF are expected to have a significant negative impact on poverty or social outcomes. On the contrary, several policy measures are anticipated to have neutral or small positive effects, particularly for vulnerable groups. For instance, Prior Action 3, which reforms insolvency procedures for micro and small enterprises, could positively affect youth and lower-income households. A strengthened insolvency framework is empirically linked to improved access to finance, which may foster entrepreneurship and job preservation through reorganization. In a country with limited quality employment opportunities, particularly for the youth, this reform is expected to enhance economic resilience.

Prior Action 4, which promotes women's financial inclusion, is likely to have positive indirect effects on poverty reduction. Rwanda has made significant strides in gender equality (with a Gender Inequality Index of 0.388 in 2021) and improving women's access to financial services will further contribute to this progress. By addressing gender gaps in access to finance, the DPF can support poverty reduction through increased economic participation and empowerment of women, who often represent a vulnerable group in financial systems. In summary, the DPF's focus on inclusive growth and access to finance aligns with broader poverty reduction efforts, and no significant adverse social effects are expected.

Environmental, Forests, and Other Natural Resource Aspects

None of the prior actions are expected to have a significant negative environmental impact, and some prior actions are expected to have positive environmental effects. The reforms proposed, ranging from Private sector management of national parks, sustainable procurement guidelines, to the National Climate and Nature Finance Strategy (CNFS), have the potential to mobilize increased private investment in green sectors of the economy. Furthermore, reform impacts include changes in land use, biodiversity conservation, and emissions reduction efforts. However, initial increases in resource use and pollution during the transition to greener technologies and practices might lead industries to cut corners on environmental compliance.

G. Risks and Mitigation

The overall risk rating for this operation is substantial. Key risks include institutional capacity, technical design, and sector strategies. Institutional capacity risks stem from governance challenges and the complexity of coordinating reforms across multiple ministries, although these are mitigated by the establishment of a cross-ministerial working group and capacity-building support from the World Bank. Environmental and social risks also pose challenges due to potential adverse effects during reform implementation, particularly in sectors involving climate and natural resource management. Strengthened regulatory frameworks and community engagement are in place to mitigate these risks. The technical complexity of reforms, particularly in green finance and investment, adds to the risk, but with strong technical assistance and close monitoring, these risks are considered manageable.



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APPROVAL

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